

Blanket ban on online money gaming is the wrong answer

With Parliament passing the Promotion and Regulation of Online Gaming Bill, 2025, the online gaming industry has been **dealt a fell blow**. The government's **rationale** for **imposing** a complete ban on online money games, including both games of skill and chance, and also **prohibiting** advertising and promotion of such games, **rests on** a **stated** desire to **address** gaming addiction, mental health issues and financial losses. Union minister Ashwini Vaishnaw said in Parliament that, according to an estimate, 45 crore people are affected by such games, facing a loss of more than Rs 20,000 crore. Concerns have also been raised over some of these platforms being used for fraud and **money laundering**. While there can be no **disagreement** on the **seriousness** of these problems, and on the need to tackle them, it must be asked whether a ban is the best **way out**.

In an interconnected world, a ban would simply **drive** such activity to unregulated and/or **offshore markets**, which may be beyond the **jurisdiction** of Indian authorities. This will make it harder to address some of the concerns. India's history is **replete with** examples of how bans, prohibitions and price controls have almost never achieved the stated objectives. The move will also have significant economic **implications**. As per a report from PwC titled "From sunrise to sunshine", the real money gaming segment brought in Rs 16,500 crore in revenue during 2023, which was expected to reach Rs 26,500 crore by 2028, **accounting for** a significant share of the online gaming market in India. A complete ban will affect all companies involved in this segment — several online gaming platforms are said to have already **suspended** their operations **following** this **development** — and this will have **implications** for jobs, both directly and indirectly. The move will also impact government finances. After the GST Council's decision to impose a 28 per cent tax on online gaming, **revenues** from the segment **rose** by 412 per cent in six months, reaching Rs 6,909 crore, up from Rs 1,349 crore before that. **The ban**, which also **underlines** the **capricious** nature of policy, **is** likely to make capital, both domestic and foreign, **circumspect** — as per a report from EY, total investments from both domestic and foreign sources added up to Rs 22,931 crore between 2019-20 and December 2023.

A more **considered** approach was **called for**. A Niti Aayog draft paper in 2020 had noted that **stakeholders** were in favour of a "**light-touch** regulatory framework for the **fantasy** sports industry". A **prudent** approach would **veer** towards providing greater regulatory **clarity**, **putting in place mechanisms** to address the concerns of the government, ensuring adequate **checks and balances** in the system and **establishing efficient grievance redressal** mechanisms. **[Practice Exercise]**

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.
- Offshore market (noun) – It refers to financial activities like trading, banking, or investment that take place outside a company's or individual's home country.

Vocabulary

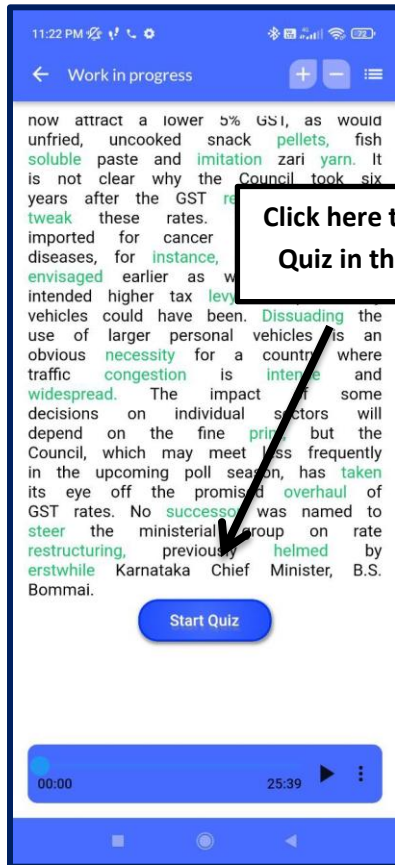
1. **Blanket** (adjective) – sweeping, across-the-board, comprehensive, indiscriminate, all-encompassing समग्र
2. **Deal a blow** (phrase) – harm, hurt, set back, cripple, undermine आघात पहुँचाना
3. **Rationale** (noun) – reasoning, justification, logic, basis, grounds तर्काधार
4. **Impose** (verb) – enforce, levy, enact, institute, decree थोपना
5. **Prohibit** (verb) – ban, forbid, bar, proscribe, outlaw प्रतिबंधित करना
6. **Rest** (on) (verb) – be based on, hinge on, depend on, be founded on, turn on आधारित होना
7. **Stated** (adjective) – declared, announced, expressed, avowed, official घोषित
8. **Address** (verb) – tackle, deal with, confront, remedy, attend to समाधान करना
9. **Money laundering** (noun) – the concealment of the origins of illegally obtained money, typically by means of transfers involving foreign banks or legitimate businesses.
10. **Disagreement** (noun) – dispute, dissent, difference, divergence, discord असहमति
11. **Seriousness** (noun) – gravity, severity, magnitude, weight, earnestness गंभीरता
12. **Way out** (noun) – solution, remedy, answer, exit, alternative समाधान
13. **Drive** (verb) – push, propel, channel, divert, force धकेलना
14. **Jurisdiction** (noun) – authority, purview, legal reach, remit, competence अधिकार-क्षेत्र
15. **Replete** (with) (adjective) – filled with, brimming with, teeming with, packed with, rife with से परिपूर्ण
16. **Implication** (noun) – consequence, effect, fallout, ramification, repercussion प्रभाव
17. **Account for** (phrasal verb) – constitute, make up, represent, comprise, amount to के लिये उत्तरदयी होना
18. **Suspend** (verb) – halt, stop, pause, freeze, put on hold निलंबित करना
19. **Following** (preposition) – after, subsequent to, in the wake of, post, pursuant to के बाद
20. **Development** (noun) – move, step, measure, event, occurrence घटनाक्रम
21. **Implication** (noun) – bearing, significance, upshot, import, consequence निहितार्थ
22. **Underline** (verb) – emphasize, underscore, highlight, stress, bring out ज़ोर देना

23. **Capricious** (adjective) – unpredictable, whimsical, erratic, fickle, arbitrary मनमौजी
24. **Circumspect** (adjective) – cautious, wary, guarded, prudent, watchful सतर्क
25. **Considered** (adjective) – deliberate, thoughtful, measured, reasoned, well-judged विचारपूर्वक
26. **Call for** (phrasal verb) – require, demand, necessitate, warrant, ask for माँग करना
27. **Stakeholder** (noun) – interested party, participant, actor, constituent, claimant हितधारक
28. **Light-touch** (adjective) – minimal, hands-off, non-intrusive, low-intensity, lenient कम-हस्तक्षेपी
29. **Fantasy** (noun) – virtual, make-believe, simulated, imaginative, fictional काल्पनिक
30. **Prudent** (adjective) – judicious, wise, sensible, cautious, sagacious विवेकपूर्ण
31. **Veer** (verb) – lean, tilt, gravitate, trend, shift झुकना
32. **Clarity** (noun) – transparency, lucidity, precision, definiteness, clearness स्पष्टता
33. **Put in place** (phrase) – establish, set up, institute, implement, install लागू करना
34. **Mechanism** (noun) – system, framework, apparatus, process, arrangement तंत्र
35. **Checks and balances** (noun) – counterbalancing influences by which an organization or system is regulated, typically those ensuring that political power is not concentrated in the hands of individuals or groups. नियंत्रण-संतुलन उपाय
36. **Establish** (verb) – set up, create, found, constitute, institute स्थापित करना
37. **Efficient** (adjective) – effective, productive, streamlined, high-performing, economical दक्ष
38. **Grievance** (noun) – complaint, protest, objection, beef, resentment शिकायत
39. **Redressal** (noun) – remedy, redress, resolution, restitution, corrective action निवारण

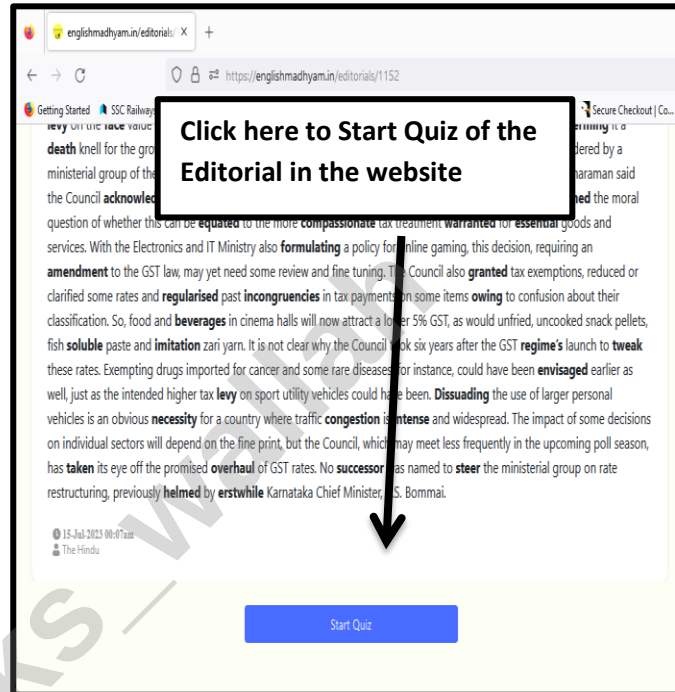
Summary of the Editorial

1. Parliament has passed the *Promotion and Regulation of Online Gaming Bill, 2025*, imposing a complete ban on online money games.
2. The ban includes both *games of skill and chance*, and also prohibits advertising and promotion.
3. The government justifies the ban by citing concerns about *gaming addiction, mental health issues, and financial losses*.
4. Union minister Ashwini Vaishnaw stated that *45 crore people are affected* by such games, leading to losses of over ₹20,000 crore.
5. Issues of *fraud and money laundering* on these platforms have also been raised.
6. While the concerns are serious, the editorial questions whether a *blanket ban is the best solution*.
7. In an interconnected world, banning will drive such activities to *unregulated and offshore markets*, beyond India's jurisdiction.
8. Past experiences in India show that bans, prohibitions, and price controls have *rarely achieved their stated objectives*.
9. The ban will have *serious economic consequences* for the gaming industry.
10. A PwC report projected real money gaming revenues at ₹16,500 crore in 2023, expected to rise to ₹26,500 crore by 2028.
11. Several online gaming companies have *suspended operations* following the ban, threatening jobs directly and indirectly.
12. The government will lose substantial *tax revenues* — GST collections from online gaming rose 412% after the 28% tax was imposed, reaching ₹6,909 crore.
13. The ban reflects the *capricious nature of policy*, which discourages both domestic and foreign investment.
14. As per EY, ₹22,931 crore worth of investments were made in the sector between 2019-20 and December 2023 — now at risk.
15. A better approach would be to create a *light-touch regulatory framework*, with clarity, safeguards, checks, balances, and grievance redressal mechanisms, instead of an outright ban.

Practice Exercise: Banking Pattern Based



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